

transformation, lowering the cost of a transaction, smoothening payment mechanism, etc. are done by the financial institutions for their customers.

2.5 AN OVERVIEW OF INDIAN FINANCIAL SYSTEM

The Indian financial system exhibits two prominent segments: the organized sector and the unorganized sector. The organized sector includes commercial, development, and cooperative banks, the stock market, and diverse non-banking financial institutions like insurance corporations and mutual funds. The unorganized sector is the informal credit market which provides loans to farmers, small enterprises and individuals. These two sectors vary majorly in terms of rates of interest and credit conditions.

The financial system was underdeveloped until independence. After 1947, the government started creating new financial institutions for the supply of finance for both industrial and agricultural purposes. For this purpose, several steps have been taken since independence. Some of them are:

- 1) ***Nationalization of financial institutions:*** Some important financial institutions at that time were nationalized. For example,
 - a) In the year 1948, the Reserve Bank of India (which was established in the year 1935 as a private-sector central bank) was nationalized.
 - b) In the year 1955, the then Imperial Bank of India was nationalized and renamed as State Bank of India.
 - c) In the year 1956, 245 life insurance business entities (consisting of 154 life insurance companies, 16 foreign companies and 75 provident companies) were nationalized and merged to form Life Insurance Corporation(LIC) of India.
 - d) In the year 1969, 14 Commercial Banks were nationalized.
 - e) In the year 1972, 107 general insurance business entities (consisting of 55 Indian insurance companies and 52 other general insurance operations of other companies) were nationalized and merged to form the General Insurance Corporation (GIC) of India.
 - f) In the year 1980, another 6 Commercial Banks were nationalized.
- 2) ***Establishment of new institutions:***
 - i) *Unit Trust of India (UTI)* – UTI was established in the year 1964 to strengthen the Indian financial system and supply institutional credit to industries. It was entrusted with the work of mobilisation of the savings of the public and provision of credit facilities to institutions for productive purposes. It has established the following subsidiaries:

- a) The UTI Bank Ltd.,
 - b) The UTI Investor Service Ltd.,
 - c) The UTI Security Exchange Ltd.,
- ii) *Development Banks* – Development banks are the institutions that provide medium and long-term finance for agriculture and industrial development purposes. These are established to provide not only credit facilities but also assist in discovering investment projects, preparing project reports, arranging technical advice, managing industrial units, etc. They are also intended to develop backward regions as well as small and new entrepreneurs. The development banks that were established over the years are as under:
- a) The Industrial Finance Corporation of India (IFCI) at the central level was established in the year 1948 to provide medium and long-term finance to industrial concerns.
 - b) The State Financial Corporations (SFCs) at the state level were established under the State Financial Corporation Act, of 1951 to provide medium and long-term finance to medium and small industries in the respective states. The State Industrial Development Corporation / State Industrial Investment Corporation (SIIC) were also set up.
 - c) The Industrial Credit and Investment Corporation of India (ICICI) was established in the year 1955 to develop large and medium industries in the private sector. (Now this is merged with ICICI Bank and it is a private commercial bank now).
 - d) The Refinance Corporation of India (RCI) was established in the year 1958 to provide refinance facilities to banks against term loans granted by them to medium and small units. (Now this is merged with the Industrial Development Bank of India (IDBI).
 - e) IDBI was established in the year 1964 as a wholly owned subsidiary of the Reserve Bank of India to act as the apex institution in the area of development banking and coordinate the activities of all the other financial institutions. (Now the ownership of IDBI is with the central government).
 - f) Small Industries Development Bank of India (SIDBI) established in the year 1990 under the Act, is the principal financial institution for the promotion, financing and development of the micro, small and medium enterprises (MSMEs) sector and for the co-ordination of the functions of the institutions engaged in similar activities.

- g) *Agriculture Financing Institutions*: The Agricultural Refinance and Development Corporation (ARDC) was established in the year 1963 to finance major development projects like minor irrigation, farm mechanization, land development, horticulture, dairy development, etc. However, the National Bank for Agriculture and Rural Development (NABARD) was established in the year 1982 and the ARDC was merged with it. Now the whole sphere of agricultural finance has been entrusted with NABARD.
- h) *Export and Import Bank of India (EXIM Bank)*: EXIM Bank was established in the year 1982 to take over the operations of the International Finance Wing of IDBI. Its primary objective is to provide finance to exporters and importers. It also functions as the principal financial institution for coordinating the working of other institutions engaged in the financing of foreign trade.
- i) *National Housing Bank (NHB)*: The National Housing Bank was established in the year 1988 as an apex institution to mobilize resources for the housing sector and to promote housing finance institutions both at regional and local levels. It provides refinancing, underwriting and guaranteeing facilities to housing finance institutions and coordinates the working of all agencies connected with housing finance.
- j) *Stock Holding Corporation of India Ltd. (SHCIL)*: SHCIL was established in the year 1987 to tone up the stock and capital markets in India. It provides quick share transfer facilities, clearing services, depository services, management information services and development services to both individual and corporate investors.
- k) *Encouragement of financial services and new instruments*:
 - i) *Mutual Funds Industry*: Both private and public sector financial institutions are being encouraged to float mutual funds.
 - ii) *Venture Capital Industry*: Both private and public sector financial institutions are being encouraged to finance through venture capital.
 - iii) *Credit Rating Agencies*: Credit rating agencies like Credit Rating and Information Services of India Ltd., (CRISIL), Investment Information and Credit Rating Agency of India Ltd., (ICRA) and Credit Analysis and Research Ltd., (CARE) are established to help investors make the decisions of their investment and also to protect them from risky ventures.

- iv) *Introduction of new financial instruments* – New and different types of financial instruments like public sector bonds, national savings certificates, post office savings schemes, different varieties of shares and debentures, different schemes of insurance, and different types of bank deposits, are being introduced to cater to the needs of different investors.

The structure and evolution of the Indian financial system in the late 1960s closely reflected a growing degree of public ownership and control of financial institutions in keeping with the political priorities of the time. The extensive control of the financial system was aimed at ensuring the flow of finances in the desired directions and in particular to priority areas of development. With the economic reforms of 1991, the financial system has undergone a structural change with the private sector now playing a substantial role. However, it suffers from one major weakness i.e., high over dues or non-performing assets of the lenders which affects many Indian financial institutions. It is a problem in both industrial and agricultural finance although the situation is on the mend in the recent years.

In short, the evolution of the financial system since 1950 has increased the “financialization” of the Indian economy. From a gross saving rate of about 8 per cent for the country at the time of independence, it has gone up to 35 per cent at its highest, declining to about 30 per cent in the most recent years. Importantly, from a preponderance of physical saving at over 90 per cent in the gross saving rate of the country, at the time of independence, it has come down to about 50 per cent in the recent years. It indicates that an increased role of the public sector in the financial system has not retarded its development. Underpinning this financial deepening is an increase in the assets of the commercial banks. There is an increase in the importance of financial institutions in the economy and of financial flows relative to economic activity. This indicates that the financial system is playing an increasingly active role in the transfer of funds from the surplus to the deficit sectors in the economy. Financial intermediation in India’s *organized* sector is conducted by a wide range and number of financial institutions which have largely operated in major cities and towns but with growing presence in rural areas, aided by the expansion of digital infrastructure across the country, in recent years.

Check Your Progress 2

- 1) What are the important functions of financial institutions?

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- 2) Explain the significance of the financial system.

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- 3) Briefly provide an overview of India's financial system.

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2.6 REGULATION OF FINANCIAL INSTITUTIONS

The government needs to oversee and regulate banks and financial institutions because they play a critical role in the economy. Historically, bankruptcies of financial institutions have created panic and instability in the financial system. A well-regulated financial system inspires confidence among investors, depositors, and the general public. The regulation of financial institutions in India is overseen by several regulatory bodies. These organisations play a crucial role in streamlining the functioning of the financial system and protecting the interests of customers. The regulation of financial institutions in India is important for various reasons. Regulation helps maintain the stability of the financial system by preventing excessive risk-taking, fraud, and other activities that could lead to systemic crises. Regulations in the financial sector also aim to safeguard the interests of consumers especially small savers. The interest of the customers can be protected by operating transparently and adhering to ethical business practices.

Financial institutions are subject to regulations that require them to implement robust risk management practices. This helps prevent excessive risk-taking and ensures that institutions are adequately prepared for adverse economic conditions.

Another important reason for financial institutions being highly regulated is that most people will not be confident in investing in an unregulated institution. Thus, the regulation of financial institutions also aims to gain and retain customer confidence. Confidence in turn is crucial for the smooth functioning of financial markets and institutions.

In every country, government agencies oversee the regulation of financial institutions, formulating rules and guidelines for the sector while also ensuring compliance through monitoring.

In India, some key regulatory bodies are:

- Reserve Bank of India (RBI) formulates and implements monetary policy, issues currency, regulates the money supply and supervises banks and other financial institutions.
- Securities and Exchange Board of India (SEBI) regulates activities such as the issuance and trading of securities, as well as the functioning of mutual funds and portfolio managers.
- The Insurance Regulatory and Development Authority of India (IRDAI) regulates and oversees the insurance industry in India.
- PFRDA: Pension Fund Regulatory and Development Authority 2003.
- SIDBI: Small Industries Development Bank of India 1990; National Bank for Agriculture and Rural Development (NABARD): NABARD regulates and supervises cooperative banks and regional rural banks (RRBs) to ensure the flow of credit to rural areas for agricultural and rural development.
- NHB: National Housing Bank, 1988 to promote housing finance (RBI).
- Insolvency and Bankruptcy Board of India set up 2016: regulator for overseeing insolvency proceedings and entities like Insolvency Professional Agencies, Insolvency Professionals and Information Utilities in India.

Check Your Progress 3

1) Why is there a need for regulation of financial institutions?

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2) In what ways financial institutions are being regulated?

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3) Write a note on some of the key financial regulatory bodies in India.

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2.7 LET US SUM UP

A Financial Institution (FI) is an entity engaged in the business of dealing with financial and monetary transactions such as deposits, loans, investments, and currency exchange. They encompass a broad range of business operations within the financial services sector including banks, trust companies, insurance companies, brokerage firms, and investment dealers. FIs can vary by size, scope, and geography. FIs offer a wide range of products and services for individual and commercial clients. The specific services offered vary widely between different types of financial institutions.

When each agent and constituent functions well, the financial system as a whole is more stable. The health of the financial sector rests on a delicate balance between the various functions of financial institutions. Problems with one function can reflect on the other capacities of the financial system as well.

The financial institutions provide the best instruments to save and invest money and to earn good returns from that investment. They try to help nations in building up economies. However, there could be some risks associated with the functioning of some institutions at times and when there is a default, in the system there could be distress and loss for economic agents. It is therefore important to have a robust regulation for the a stable functioning of a financial system. Indeed, the health of a nation's banking system is a linchpin of economic stability.

2.8 SUGGESTED READINGS

Houthakker, H. S., & Williamson, P. J. (1996). *The Economics of Financial Markets*. Oxford University Press, USA.

Mishkin, F. S., & Eakins, S. G. (2006). *Financial Markets and Institutions*. Pearson Education India.

2.9 KEY WORDS

Direct finance : Funds are directly provided by savers to borrowers in the financial markets without the involvement of any intermediary.

Indirect finance : Funds are provided by 'middleman', a third-party that stands between borrowers and lenders.

Intermediaries : They intermediate between savers and investors; they lend money as well as mobilize savings.

Financial Institution (FI) : A company engaged in the business of dealing with financial and monetary

transactions such as deposits, loans, investments, and currency exchange.

Financial Intermediation : The financial intermediation process channels funds between third parties with a surplus and those with a lack of funds.

2.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Finance means Financial resources Financing involves intermediation i.e., providing finance.
- 2) Refer to Sub-Section 2.2.2
- 3) Indirect finance, funds are directly provided from savers to borrowers. Indirect finance involves intermediary.

Check Your Progress 2

- 1) Directing the payment systems, assisting with resources and Capital, Risk management.
- 2) Refer to Section 2.4
- 3) Refer to Section 2.5

Check Your Progress 3

- 1) Prevent excessive risk taking, gain customer confidence, ensure compliance.
- 2) Refer to Section 2.6
- 3) Refer to Section 2.6